

impetus to riotous speculation as well as to thoughtless investment. In effect it is the opposite of the practice followed many years ago by such companies as American Can and National Biscuit, when the market price was kept far below the true value of the shares by an unduly “conservative” dividend policy. It is fully as objectionable, of course, to pursue a policy calculated to create a market price higher than that warranted by the earnings and other value factors. Such an unjustified price must necessarily be of temporary duration and is likely to result (as does all improper accounting) in giving the initiated an unfair advantage over the investing public.¹⁰

Year	Earnings per share*	Range of market price	Value of the 10% stock dividend	
			Per company's books	To the stockholders (average market value)
1932	\$2.01	43–14	\$1.47	\$2.85
1931	3.41	90–26	1.23 [†]	5.80
1930	4.53	133–57	1.00	9.50
1929	5.03	187–67	1.00	12.70
1928	4.68	97–56	1.00	7.65
1927	4.06	65–46	1.00	5.55
1926	4.05	67–42	1.00	5.45
1925	3.74	75–41	1.00	5.80
1924	3.32	45–22	1.00	3.35
1923	3.59	24–18	1.00	2.10

* Based on the average number of shares outstanding during the year.

[†] First two quarterly dividends in 1931 were booked at \$1 and last two at \$1 to capital stock and 46.8 cents to capital surplus.

¹⁰ The North American Company has an excellent reputation, and its policy was clearly not devised with any such sinister purpose in view. The company took pains to justify its stock-dividend payments in communications to its shareholders. Its arguments centered, however, on the advantages of reinvesting earnings and on the propriety of issuing additional common shares to represent these added resources. The discrepancy between the book value and the market value of these stock dividends, and the misconceptions that might arise therefrom, were hardly touched upon. It was particularly unfortunate that a company of high standing should have adopted this questionable practice, since its example was all too readily followed and exploited by other enterprises less scrupulously managed.